

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

20230930-DK-BUTTERFLY-1, INC. f/k/a/ BED BATH & BEYOND INC. v.
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

RESPONDENTS' MOTION TO EXCLUDE THE TESTIMONY OF JOHN D. MCCOWN¹

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (“Respondents” or “OOCL”) respectfully move to exclude the testimony of John D. McCown, Bed Bath and Beyond, Inc.’s (“Complainant” or “BBBY”) retained expert witness in this case. McCown does not offer expert opinions that can assist the fact finder in evaluating the case, instead offering testimony premised on unreliable principles and methods and based on insufficient facts and data. Because his opinions are unreliable and irrelevant, they should be excluded.²

INTRODUCTION

Complainant designated John D. McCown as its expert in this matter and provided his report on September 17, 2024. McCown was deposed on October 21, 2024. In his report and deposition, McCown made clear he is not qualified to provide expert testimony in this case. His industry experience—in not only a bygone but completely different carrier business—does not provide a legitimate basis for his opinions, making them irrelevant and unreliable. He fails to offer expert opinions, instead regurgitating facts without analysis, guessing at the mental impressions of witnesses and making legal conclusions. His opinions rely on flawed

¹ Because this filing seeks affirmative relief from the Presiding Officer, rather than a ruling on the merits, it is appropriately addressed in a motion, rather than the upcoming brief. 46 C.F.R. 502.69(a).

² McCown’s deposition testimony (Exhibit A) and McCown’s expert report (Exhibit B) are attached hereto and fully incorporated herein by reference

methodology—if “methodology” fits at all—and are based on anecdotes tailored to match BBBY’s desired end-conclusions without considering the evidence or alternative theories.

LEGAL STANDARD

“[T]he trier of fact is to perform a ‘gatekeeping’ function concerning the admissibility of expert evidence.” *United States v. Frazier*, 387 F.3d 1244, 1260 (11th Cir. 2004)(citing *Daubert v. Merrell Dow Pharms., Inc.*, 509 U.S. 579, 589 n.7, 597 (1993)).³ The party offering the expert testimony bears the burden to establish his “qualification, reliability, and helpfulness.” *Daubert*, 509 U.S. at 592, n. 10. Expert witness testimony must be both relevant and reliable. *Id.* at 590. Experts must have specialized knowledge obtained through experience, training, or education. Where a witness is “not qualified as an expert” relating to “topics covered in his testimony, that testimony cannot possibly meet the requirements mandated by *Daubert*.” *In re Omeprazole Patent Litig.*, 490 F.Supp.2d 381, 402, n.9 (S.D.N.Y. 2007) (citing *In re Paoli R.R. Yard PCB Litig.*, 35 F.3d 717, 741 (3d Cir. 1994)). Further, expertise in one area does not qualify a witness as an expert in another. *See e.g., Carnegie Mellon Univ. v. Marvell Tech. Group, Ltd.*, 286 F.R.F. 266 (W.D. Pa. 2012).

ARGUMENT

McCown was tasked with providing “opinions related to process and business practices in the container shipping sector, the reasonableness of OOCL’s conduct, and BBBY’s damages.”⁴ As shown herein, his opinions are inadmissible under Fed. R. Evid. 702. They are not based on specialized knowledge and will not help the trier of fact; they are not based on sufficient facts and data; they are not based on reliable principles and methods; and they do not reflect a reliable application of the principles and methods appropriate in this case.

³ *See Marine Repair Servs. of Maryland, Inc. v. Ports America Chesapeake, LLC*, Docket No. 11-11, 2013 WL 9808672, at * 23 (ALJ 2013) (admin. final).

⁴ McCown Report ¶ 2.

Further, under FRE 402, McCown's opinions are inadmissible because they are irrelevant.

I. McCown's testimony is inadmissible under Fed. R. Evid. 702.

a. The testimony is not based on scientific, technical, or other specialized knowledge and will not help the trier of fact understand the evidence or determine a fact in issue.

McCown's experience in container shipping consists of working as a financial manager for McLean Industries (parent entity of U.S. Lines, Inc.) from 1980 to 1988 and working for Kadampanattu Corporation (a holding company) and Trailer Bridge, Inc. from 1988 to 2008. McCown Report at Appx. E. While U.S. Lines was a global ocean carrier, McCown had no specific operational experience during his tenure. Instead, he was only "aware" of the processes relating to booking space, detention and demurrage ("DD"), and container and chassis operations.⁵ Although he had more operational exposure at Trailer Bridge, that carrier did not operate containerships, but rather only seven ocean-going barges carrying truck trailers between Florida, New York, Puerto Rico and the Dominican Republic.⁶ McCown admitted Trailer Bridge did not frequently deal with DD issues.⁷ Since 2008, McCown has had no involvement in operational aspects of the ocean shipping industry whatsoever.

Despite his unrelated experience, McCown offers opinions on OOCL's—one of the world's largest international containership carriers—operations during the COVID years. McCown's experience—related to the operations of a containership company forty years ago, and moderately related to operations for a tiny, dissimilar container-barge company twenty years ago—does not qualify as relevant specialized knowledge and does not render him competent to opine on the reasonableness of Respondents' operations. Further, McCown only

⁵ See McCown Depo. 17:21-25 ("So I never worked full time in Vessel Operations, if that's what you're asking, but imminently familiar with what was involved in vessel operations and all the costs of ships[.]"); *see also* 18:13-14 ("I was certainly aware of [the process of booking space on a container ship] and how it occurred."); *see also* 19:25-20:3 ("I was broadly aware of the demurrage and detention rates that U.S. Lines had, you know, at that time.").

⁶ McCown Depo. 30:6-24.

⁷ *Id.*, 32:4-22.

offers anecdotal, tangentially related opinions regarding the industry in general and lacks a foundation for opinions specifically relating to Respondents.⁸ As such, his opinions cannot help the Presiding Officer, as fact finder, understand the evidence or determine facts in issue.

b. The testimony is based on insufficient facts and data and founded upon unreliable principles and methods.

“An expert’s methodology is generally unreliable when it consists of little more than parroting someone else’s opinions. This is because deferring to others is rarely a ‘reliable principle or method.’” *United States v. DynCorp International, LLC*, 715 F.Supp.3d 45, 67 (D.D.C. 2024). FRE 702 and *Daubert* are not satisfied where, as here, the expert fails to identify principles or methodologies but rather notes only that he reviewed documents and reached conclusions. *Campbell v. National Railroad Passenger Corp.*, 411 F.Supp.3d 281, 301 (D.D.C. 2018). Further, where the expert blindly relies on facts provided by his client’s counsel and fails to review other sources of information relevant to the opinion in issue, that expert’s opinions are unreliable. *Id.*⁹

McCown did not validate the data upon which he relied. Instead, he took an outcome-minded approach and made his opinions fit within the parameters of the Complaint. The only third-party data cited by McCown that is impartial or validated are the container price indices in his discussion of Peak Season Surcharges (“PSS”) and service contract prices.¹⁰ McCown

⁸ For example, McCown describes *per diem* rates as currently “double digit multiples more than what they were just two decades ago at most carriers.” McCown Report ¶ 133. He then discusses Trailer Bridge’s rates from *twenty* years ago and acknowledges international carriers have experienced different changes. *Id.* ¶ 134. He finishes off with a discussion of U.S. Lines’ rates *forty* years ago. *Id.* ¶ 135. McCown’s Ghost of Christmas Past narrative of times gone by cannot possibly help the Presiding Officer determine whether *per diem* rates assessed in 2020 and 2021 were reasonable. That question is, of course, legally irrelevant, but best answered by comparing OOCL’s rates to its competitors —data McCown has conspicuously left out of his report.

⁹ Citing *Equal Emp’t Opportunity Comm’n v. Bloomberg L.P.*, No. 07-8383, 2010 WL 3466370, at * 14 (S.D.N.Y. Aug. 31, 2010) (expert’s reliance “solely on the information fed to him by plaintiff without independently verifying whether the information was representative undermined the reliability of his analysis.”).

¹⁰ See McCown Report at n. 33, 36, 41.

did not validate any other data, instead he simply checked the “math.”¹¹ McCown did not analyze the space Respondents provided to Complainant, instead relying on assertions in the Complaint that OOCL failed to provide the contracted-for space.¹² McCown readily admitted this, saying he “most definitely” relied on the Complaint’s assertions for his conclusion in Report Paragraph 44 that there was a shortfall.¹³ Not only did he accept as true the Complaint’s space-allocation statements, he admitted to disregarding unrefuted testimony from OOCL’s Karen Lam, who provided authenticated data showing OOCL met its space obligations.¹⁴

Regarding DD, McCown was only “broadly aware of [OOCL’s] tariffs relative to other carriers” but noted that such data “wasn’t particularly relevant to include in [his] report.”¹⁵ Without comparing DD charges to those of other comparable carriers in the relevant time frame, McCown has failed to rely on any sufficient facts or data to conclude that OOCL’s rates were unreasonable.

McCown’s report includes Appendices A-1 and B-1, titled “NVO Shipments to Cover OOCL Shortfall,” listing thousands of shipments carried by NVOs during the relevant contract years.¹⁶ McCown asserts that these shipments, seen in light of the shortfall (asserted in the Complaint and unverified by McCown), show BBY’s entitlement to damages for the cost delta between BBY’s contract rates and the rates it paid NVOs. Troublingly, McCown testified he did not prepare the Appendices and did not know who did.¹⁷ Instead, McCown blindly relied on what he was given, finding that the appendices were “consistent with what

¹¹ See McCown Depo. 118:23-25 (“... I did the -- did the math. I know that two-thirds is the number that you get. . .”).

¹² *Id.*, 117:20-118:6.

¹³ *Id.*, 120:5-121:10, 122:3-12; see also McCown Report ¶ 44.

¹⁴ McCown Depo. 123:3-14. Karen Lam was OOCL’s General Manager of Trans-Pacific Trade at the time.

¹⁵ *Id.*, 111:2-5.

¹⁶ McCown Report at Appendices A-1, B-1.

¹⁷ McCown Depo. 124:7-21.

was in the Complaint.”¹⁸ Rather than even attempt to vet the data, McCown just trusted it: “I believe everybody involved on the Bed Bath side are credential [sic], kind of, fact-based folks, so I accept it as credible. And, most importantly, it ticks and ties with the numbers in the Complaint.”¹⁹ McCown attempted to explain that the data were derived by comparing service contracts with the services provided. But this cannot be true because McCown did not even bother to review the relevant service contracts.²⁰

Further, and critically important, McCown admitted that he did not have information as to whether any of the NVO shipments correlated to OOCL’s alleged denials of a BBY booking request²¹ and he admitted that he did not know whether they replaced OOCL’s allegedly declined bookings.²² McCown agreed that Appendices A-1 and B-1 do not support the proposition for which they are used: “Q. So it’s fair to say that you don’t know whether any of these shipments replaced OOCL’s declined bookings, correct? [Objection by BBY Counsel] A. I don’t know that.”²³

Thus, despite his opinions, McCown is not aware of any data that supports OOCL’s purported container shortfall, which itself is the basis upon which he relies to form an opinion that BBY is entitled to recover the difference between BBY’s service contract rates and those it paid NVOs. Nor is there any data that supports his opinion that the NVO shipments were made because of allegedly declined OOCL bookings. McCown’s opinions, thus built on a house of cards, are unreliable and insufficient as a matter of fact and law.

McCown’s blind reliance on the assertions in the Complaint do not end there. He also

¹⁸ McCown Depo. 125:7-17.

¹⁹ *Id.*, 125:11-17.

²⁰ *Id.*, 147:5-9.

²¹ *Id.*, 125:25-128:12.

²² *Id.*, 130:14-18.

²³ *Id.*, 132:12-17.

has no data or information regarding the alleged damages from PSS and premium contracts set out in Report Paragraph 177, nor did he speak with any of the BBY employees who signed the service contracts or amendments before opining that BBY acted under duress.²⁴

McCown's testimony is also incredible given its internal inconsistencies, again highlighting the lack of foundational facts and data. For example, though McCown opines that it is unreasonable for Respondents to require shippers to provide justification for waiving DD charges, he testified that Trailer Bridge had just that requirement.²⁵ McCown relied on his experience at Trailer Bridge, but he claims not to have compared the two operations, saying doing so "just wouldn't be particularly meaningful."²⁶ Yet, McCown's opinions as to what reasonable DD rates would be is tied directly to Trailer Bridge's two-decades-old rates.²⁷

McCown has not relied upon any reproducible principles or methodology in forming his opinions. Instead, he simply read the documents provided to him by Complainant's counsel and ignored testimony from Respondents. He can point to no evidence supporting his assertions that Respondents: had control over gate access at marine terminals;²⁸ did not provide the space allocated under the service contracts;²⁹ forced Complainant to sign contracts against its will (though he did not speak to the persons who signed those contracts);³⁰ or were obligated to provide chassis (even though all carriage was on a port-to-port basis and the service contracts specifically made it Complainant's obligation to procure chassis).³¹

²⁴ *Id.*, 142:14-146:11; 146:16-147:17.

²⁵ *Id.*, 55:7-15 ("... Yes. As I said, we needed to have [shippers'] explanation" justifying their request to write off DD charges.); see also McCown Depo. 54:10-22 ("And do, so you know, we wouldn't just cut the bill to cut the bill. I mean, if somebody said, you know, I don't want you to charge me, you know. That's not going to have us fold over, but if somebody, you know, says, you know, well, it was my trucker, or you said, I got the load, you know, on Wednesday, I didn't get it until Friday, he must have been using your equipment for something else, we'd kind of, shrug our shoulders and say, okay. You know, we weren't looking for proof, you know, beyond that.").

²⁶ *Id.*, 110:4-21.

²⁷ McCown Report at ¶ 183.

²⁸ McCown Depo. 107:14-25.

²⁹ McCown Depo. 122:3-12.

³⁰ McCown Depo. 147:18-25.

³¹ McCown Depo. 154:17-155:23.

c. McCown's opinions do not reflect a reliable application of the principles and methods appropriate to this case.

McCown employed unreliable methods—if any. He compounded that error by then failing to apply the facts to those methods in a reliable way. McCown failed to consider all evidence in an unbiased manner, failed to consider alternative theories, and made assumptions and drew conclusions plainly unsupported by evidence. As just one example, he opined that DD charges were reasonable under some circumstances, but then concluded all Respondents' charges were *unreasonable* despite having absolutely no data showing the causes of Complainant's DD charges were out of its hands.³²

McCown admits that a shipper should be liable for DD charges, at a minimum, for customs holds and when it uses the container for storage.³³ He also agrees that the relevant service contracts (again, that he did not bother reviewing) require Complainant to handle inland transportation.³⁴ Yet he ignores testimony (that he claims to have reviewed) of Complainant's own employee and booking agent stating that warehouses were full, thereby requiring cargo to be held in containers.³⁵ McCown has acknowledged that there are cases in which DD charges are legitimate. *Id.* He then acknowledges that those cases are shown in the evidence. Yet, he makes a blanket assertion that “in all such cases where BBY was charged, it was not a reasonable or appropriate charge.”³⁶ This faulty application of critical analysis to the facts is undoubtedly a result of McCown's predisposition to find all DD charges unreasonable.³⁷ This is just one example of why McCown's opinions are not reliable and do not assist the fact finder.

³² McCown Depo. 220:12-225:12.

³³ McCown Report ¶ 146.

³⁴ McCown Depo. 193:17-194:14.

³⁵ McCown Depo. 188:8-191:23.

³⁶ McCown Report ¶ 147.

³⁷ McCown Depo. 201:4-18.

Further, as to DD charges and the list of containers in Appendix C to McCown's Report, he had no information as to why the containers were delayed (e.g., lack of chassis, lack of trucks, lack of truck drivers, lack of an appointment, dual-exchange requirement, containers being buried in a container stack at a marine terminal, lack of railcars, or lack of rail service).³⁸ Further, he had no information as to whether BBY ever submitted any documentation to OOCL showing why the DD charges should be reversed,³⁹ or whether BBY ever confirmed with its drayage carriers that gate appointments were required.⁴⁰ McCown did not evaluate any of the foregoing factors with respect to any specific container for which DD was charged.⁴¹

II. McCown's testimony is inadmissible under Fed. R. Evid. 402 and 403.

Under FRE 402, irrelevant evidence is inadmissible. McCown offers a plethora of irrelevant and improper opinions, including opinions regarding witness mindsets and offering improper legal conclusions.

McCown's opinions regarding OOCL's intent to discriminate against BBY are improper as "the opinions of witnesses on the intent, motives, or state of mind of corporations, regulatory agencies and others have no basis in any relevant body of knowledge or expertise." *In re Rezulin*, 309 F.Supp.2d 531, 546 (S.D.N.Y. 2004). Such opinions assume the role of advocate and do not assist the fact finder in the "lay matter" of understanding and deciding intent without the expert's help. *Id.* As such, all of McCown's opinions relating to the retaliation claim should be excluded.⁴² Without detailing every instance of improper state of

³⁸ *Id.*, 222:24 – 224:13.

³⁹ *Id.*, 220:24-221:11.

⁴⁰ *Id.*, 224:14-22.

⁴¹ *Id.*, 225:5-12.

⁴² In addition to being improper, McCown's retaliation opinions are also incorrect. He does not identify any protected conduct or any effort by BBY to threaten legal action against OOCL. Without conduct to retaliate against, there can be no retaliation. Instead, he tries to argue discrimination against BBY as a beneficial cargo owner in relation to NVOCCs. This is despite the black letter law permitting private contracting and differential pricing. Finally, by

mind opinions, Respondents simply note the following improper paragraphs: McCown Report ¶¶ 68, 71-74, 92, 102, 108, 110, 119, 121-22, 150, 157, 178-79.

McCown's abundant legal conclusions and opinions on what the law *should be* are also improper and must be excluded. *See Montgomery v. Aetna Cas. & Sur. Co.*, 898 F.2d 1537, 1541 (11th Cir. 1990) ("An expert may testify as to his opinion on an ultimate issue of fact. An expert may not, however, merely tell the jury what result to reach.") (internal citations omitted). Without detailing every instance of improper legal conclusions, Respondents simply note the following improper paragraphs: McCown Report ¶¶ 37-40, 147, 155-56, 173-74.

McCown employed no reliable methodology. He did no more than accept as fact the allegation in the Complaint that OOCL failed to provide space without vetting how much space OOCL actually provided. He accepted the tables of NVO shipments in Appendices A-1 and B-1 to his Report and assumed they correlated to the alleged space shortfall without verifying whether any were related to a declined booking by OOCL. Further, as to DD charges, he abjectly failed to vet whether any justifiable reason existed for excusing the charges assessed by OOCL, or whether BBY provided any evidence to OOCL regarding same. His opinions simply parroted the allegations in the Complaint and are not based upon any reliable methodology whatsoever. Because his opinions are not reliable, McCown must be stricken under *Daubert* and its progeny.

CONCLUSION AND REQUEST FOR RELIEF

For the foregoing reasons, the Presiding Officer should grant this Motion to Exclude, striking Mr. McCown's report, excluding Mr. McCown's testimony, and grant all such other and further relief to which Respondent may be entitled.

couching the issue as NVOCC versus BCO, McCown implicitly concedes OOCL's alleged misconduct was not unique to BBY.

DATED: December 20, 2024

Respectfully submitted,

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EXHIBITS:

- A. Deposition Transcript of John D. McCown
- B. Expert Report of John D. McCown

CERTIFICATE OF CONFERENCE

Counsel for Complainant and Respondents conferred regarding the relief sought herein on December 19, 2024 via email. Complainant is opposed to the relief sought herein and has requested an extension to their time to respond to the foregoing motion to January 17, 2025. Respondents are not opposed to the requested extension.

CERTIFICATE OF SERVICE

I hereby certify that on the 20th day of December 2024, a true and correct copy of the foregoing **Motion to Exclude** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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